NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 30.11.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA) No.4/230/AMR/2021		230	Tropical Bovine Genetics Private Limited (Transferor Co.1-AP) & Gallusgen Private Limited (Transferor Co.2-HYD) & Tropical Animal Genetics Private Limited (Transferee Co.- HYD)

Counsel for Petitioner(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

Mr.Ashutosh Gupta, Mr.Gaurav Rana and Mr.Ajitesh Kumar, Advocates for the Petitioner are present.

CP (CAA) No.4/230/AMR/2021 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.4/230/AMR/2021
Connected with
CA (CAA) No.5/230/AMR/2021

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Arrangement of **M/s.TROPICAL BOVINE GENETICS PRIVATE LIMITED**, the Transferor Company-1 (having its registered office at Andhra Pradesh) and **M/s.GALLUSGEN PRIVATE LIMITED**, the Transferor Company-2 (having its registered office in Telangana) with **M/s.TROPICAL ANIMAL GENETICS PRIVATE LIMITED**, Transferee Company (having its registered office in Telangana)

In the matter of

M/s. Tropical Bovine Genetics Private Limited,
Having registered office at IGCARLPL,
1st floor, Administrative Wing,
Main Research Building,
APCARL Pulivendula,
Cuddapah, Andhra Pradesh-516390.

... Petitioner /Transferor Company-1

Date of pronouncement of order: 30.11.2022

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

For the Petitioner : Mr. Ashutosh Gupta, Advocate

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by M/s.Tropical Bovine Genetics Private Limited, Transferor Company-1, M/s.Gallusgen Private Limited, Transferor Company-2 and M/s.Tropical Animal Genetics Private Limited, Transferee Company under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Transferor Companies for Scheme of Arrangement (the Scheme for short) with the Transferee Company. The Transferor Company-1 registered offices is situated at Andhra Pradesh and Transferor Company-2 & Transferee Company registered offices are situated at Telangana.

2. Briefly the facts are as follows:

   i. The Authorised Share Capital of the Petitioner/Transferor Company-1 is Rs.7,50,00,000/- divided into 75,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.6,53,48,250/- divided into 65,34,825 equity shares of Rs.10/- each. The main objects of the Transferor Company-1 are to carry on the business of opening, running and managing assisted In Vitro Embryo Production (IVEP) Clinic/Lab for the animal breeding in dairy and other animals in accordance with law, including the legal restrictions, if any and to establish, construct, erect,

maintain, run, manage, develop, own, acquire, purchase, undertake, improve, equip, promote, initiate, encourage, subsidies and organize and other facilities across India offering advanced reproductive technologies in Animal Husbandry Industry including bovine, ovine and other animals etc.

ii. The Scheme of Arrangement would enable consolidation of the Companies thereby leading to unlocking of values of the consolidated Transferee Company and enable economies of scale by attaining critical mass and achieving cost saving. The amalgamation will contribute in furthering and fulfilling the objectives and business strategies of all the Companies thereby accelerating growth, expansion and development of their business. The amalgamation would also provide the Transferee Company a strong and focused base to undertake the business more advantageously.

iii. The Board of Directors of the Transferor Company approved the scheme at its respective board meetings held on 20.07.2020. The appointment date is 01.04.2020. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from all the Equity Shareholders and Un-Secured Creditors of the Transferor Company-1.

iv. The Tribunal, by order dated 30.04.2021, the Petitioner Company to convene and hold the meetings of the Unsecured Creditors of the Transferor Compan-1 and dispensed with the meeting of the Equity Shareholders of the Transferor Company-1. A meeting was convened and held on 26.06.2021 and the scheme of arrangement was approved by the respective shareholders and creditors in the same meeting. The scheme of arrangement was approved by the board of directors and others.

3. Heard the Learned Counsel appearing for the Petitioner, RD and OL and perused the records.

4. The Regional Director (RD) filed his report dated 23.09.2022 and raised the following objections and the Petitioner Companies replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit dated **13.10.2022**
1	The Directorate has received letter dated 05.09.2022 from the ROC, Andhra Pradesh by pointing out certain observations as under:-	Undertaking given by the Petitioner Company:
	a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to	a. To preserve the books of accounts and records of the Petitioner Companies

	preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	in terms of Section 239 of the Companies Act, 2013.
	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	b. To comply with all applicable provisions and statutory liabilities applicable and levied upon the Petitioner Company in terms of applicable law of land and even after sanctioning of the present Scheme of Amalgamation.
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form	c. To file Form INC-28 with the RoC, AP as and when required under the law.

	No.INC-28 with the concerned office of RoC by the Petitioner Company.	
	d) The Regional Director (RD) sought this Tribunal to direct the Petitioner Transferee Company to file an application with RoC indicating the revised authorised capital and proof of paying prescribed fees due on revised capital after setting of that fee already paid by Transferor Companies.	d. To file the appropriate application before the RoC for clubbing of the Authorised share capital and if required will pay fees on additional Authorised share capital in terms of the Scheme and Companies Act, 2013.
2	The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to file their due annual returns and balance sheets for the year ending 31.03.2022 and furnish the copies of the challans before the scheme is allowed. Further sought to direct the Petitioner Company to change the appointed date from 01.04.2020 to 01.04.2021 or 01.04.2022.	2. It is incorrect to state that the balance sheet and annual returns for the financial year ending on 31.03.2022 are due. The Petitioner Company submitted that the Petitioner Company will file the same in terms of law and the Regional Director cannot compel the Petitioner Companies to file the same in advance much prior to the due date. Further changing of the appointed date from 01.04.2020 to 01.04.2021 or 01.04.2022 will

		prejudice the interest of stakeholders of the Company. Having said that this Hon'ble Tribunal as per the circular issued by MCA the appointed date could be any date but cannot be the preceding date of filing of first motion application by one year. In the given case the first motion application was filed on 22.09.2020 hence, the appointed date is within the four corners of law and in terms of the circular issued by MCA. Further changing of the appointed date at this juncture will only prejudice the stake of all the shareholders, creditors and stakeholders of the Company. Furthermore, it is the admitted position of law, that the time taken in judicial proceedings cannot put any parties to disadvantageous position which would severely prejudice the concerned parties and its stakeholders. Admittedly, the present case was filed long back on 22.09.2020 thus, the time taken in

		disposal of present application cannot be applied against the interest of the parties or Petitioners cannot be placed at disadvantageous position.
3	The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to furnish an undertaking that as and when the demand arises from the Income Tax Department, Transferee Company is ready to pay the said dues.	3. The Transferee Company hereby undertake to pay all the Income Tax Departments dues as and when demand arises against the Petitioner Companies in terms of law.

5. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection. The Official Liquidator (OL) made certain observations and the Petitioner Companies has filed reply to the report of the Official Liquidator (OL) which is as follows:

S.No	Observations of Official Liquidator filed on 11.03.2022	Reply of the Petitioners Company filed on 18.04.2022
1	The appointed date was fixed as 01.04.2020 vide Clause 1.2 of Part I of the Scheme, which is old date. Hence, the Petitioner	To be precise Official Liquidator objected the appointed date i.e., 01.04.2020, on the

	Companies may be directed to change the appointed date to any other recent date and furnish the financials as on the new appointed date.	ground that same is old date. It is humbly submitted that there is no embargo or prohibition under any law including Companies Act, 2013 ("Act") and Rules & Regulations notified therein for proposing appointed date preceding the date of approval of the Scheme of Arrangement by this Hon'ble Tribunal. On the other hand, as per clarification given by Ministry of Corporate Affairs in General Circular No.09/2019, a scheme of arrangement under
2	As per the balance sheet as at 31.03.2020 of the Transferor Company-1 the Transferor Company-1 is the wholly owned subsidiary of the Transferee Company.	
3	As per Clause 14.1 of Part III of the Scheme, the amalgamation will be accounted in accordance with Indian Accounting Standard (Ind. AS) 103-Business Combinations as notified under Section 133 of the Companies Act, 2013.	
4	There are no proceedings pending under the provisions of the Companies Act, 2013 against the Petitioner Company	

	as per the information provided by them on 15.02.2022.	Section 230-232 of the Act can proposed a 'appointed date' which may precede the date of filing of the application for the Scheme of Merger/Amalgamation before this Hon'ble Tribunal. In the instant case first motion as filed on 22.09.2020, hence, appointed date proposed in the Scheme of Arrangement precedes the date of filing. In the light of the above, it is humbly submitted that the Official Liquidator objection is legally not tenable.
5	The Transferor Company-2 comes under the jurisdiction of Hon'ble National Company Law Tribunal, Hyderabad Bench and hence, the Hon'ble Tribunal may sanction the scheme subject to the orders to be obtained from the Hon'ble National Company Law Tribunal, Hyderabad Bench, as well.	
6	As per Annexure 'A' to the Independent Auditors' Report dated 28.12.2020, during the financial year 2019-20, the Company has not accepted any deposits from the publics within the meaning of Section – 73, 74, 75 & 76 of the Act and the rules framed thereunder to the extent notified.	

6. Finally, the Official Liquidator (OL) did not raise any objections against accepting the Scheme of Arrangement of the Petitioner Companies.

7. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Company thereon and the documents produced on record, the Scheme of Arrangement appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

8. The Company Petition is allowed with the following directions:-

   a) The Scheme of Arrangement (Copy of the Scheme enclosed at Page No.32 to 66 of the Petition) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Company and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

   b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2020 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Company is directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Company is directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Company is directed to issue newspaper publication with respect to approval of Scheme of Arrangement, in the same newspaper in which previous publications were

issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Company is further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Arrangement under the provisions of the Act.

i) The Petitioner Company is also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Company is directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

9. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.4/230/AMR/2021 stands disposed of.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu